

Escalation Memo 03

ESCALATION MEMORANDUM

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TO: Chief Executive Officer
FROM: Robert Johnson, Senior Project Manager
DATE: May 27, 2026
SUBJECT: CRITICAL ESCALATION - ERP Implementation Business Stakeholder Blockage

PRIORITY: HIGH

ESCALATION LEVEL: CEO

PROJECT INFORMATION

Project Name: SAP S/4HANA Implementation - Phase 1
Project ID: SAP-2024-205
Sponsor: William Harrison, CFO
Current Status: AMBER - STAKEHOLDER BLOCKAGE

ESCALATION REASON

The SAP S/4HANA implementation project is experiencing a critical blockage due to unavailability of key business stakeholders for requirements validation and process sign-off. Despite multiple attempts through normal channels, the Finance Director has not made time available for critical project activities, creating significant risk of requirements rework and timeline impact. CFO-level intervention has been attempted without success.

CRITICAL ISSUES

1. Finance Director Unavailability
 - Critical requirements validation blocked for 3 weeks
 - Data migration approach sign-off pending
 - Business process redesign approval stalled
 - UAT test scenario validation cannot proceed
 - Multiple meeting requests declined or cancelled
2. Business Stakeholder Resistance
 - Finance team expressing resistance to process changes
 - Lack of executive mandate for participation
 - Competing business priorities taking precedence
 - Change management activities ineffective without leadership support
3. Timeline Impact

- Data migration delayed pending sign-off
- UAT cannot proceed without business validation
- Go-live date of July 30 at risk
- Project team resources idle while waiting

4. Governance Failure

- Project governance not enforced
- Stakeholder accountability not established
- Executive sponsorship insufficient
- Normal escalation channels ineffective

IMPACT ASSESSMENT

Business Impact:

- Project timeline at risk (4-6 week delay projected)
- Go-live date may slip to September
- Business readiness compromised
- User adoption risk increased
- \$12M Phase 1 investment at risk

Financial Impact:

- Delay costs: \$250,000 per week
- Additional consultant costs: \$150,000
- Potential budget overrun: \$500,000+
- Contingency utilization: 35% already used

Operational Impact:

- Finance operations disruption during extended timeline
- Competing projects delayed
- Resource inefficiency

ATTEMPTED RESOLUTIONS

1. Project team level: Multiple meeting requests, declined
2. Sponsor level (CFO): Escalated May 24, no resolution
3. Change management: Engagement activities, insufficient
4. PMO intervention: Governance review, no enforcement
5. Direct communication: Finance Director unresponsive

REQUESTED ACTION

IMMEDIATE CEO INTERVENTION REQUIRED:

1. Executive Mandate for Stakeholder Participation
 - CEO directive requiring Finance Director availability
 - Clear accountability for project participation
 - Protected time allocation for project activities
 - Executive enforcement of governance
2. Governance Enforcement
 - Strengthen project governance mechanisms
 - Establish stakeholder accountability
 - Implement consequences for non-participation
 - Regular executive status reviews
3. Timeline Decision
 - Decision on go-live date feasibility
 - Approval for timeline extension if needed
 - Resource allocation for extended timeline
 - Business communication plan
4. Change Management Support
 - Executive sponsorship for change management
 - Communication from CEO on importance
 - Mandate for process change adoption
 - Support for overcoming resistance

RECOMMENDED NEXT STEPS

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1. CEO meeting with Finance Director within 48 hours
 2. Clear directive on stakeholder participation requirements
 3. Establishment of accountability mechanisms
 4. Weekly executive status reviews until resolution

CONTACT INFORMATION

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CC: CEO, CFO, Finance Director, Project Management Office

This escalation requires CEO intervention to establish executive mandate and enforce governance for stakeholder participation in this critical enterprise project.